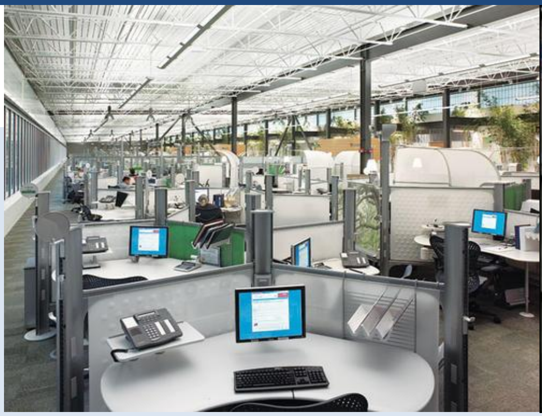
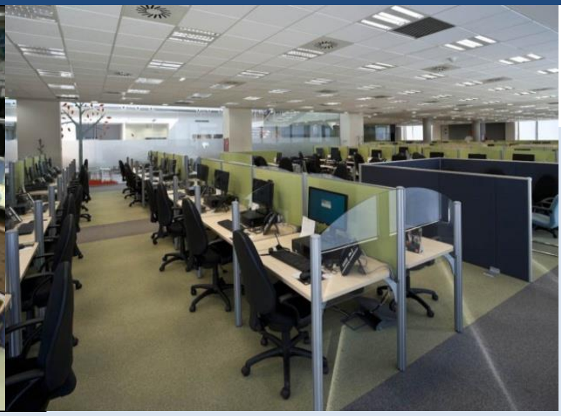
A pre-feasibility study for the establishment of a Call Center in Irbid





2017

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1. Executive summary

The idea of the project is to establish a call center in the city of Irbid, providing many services in addition to transfer calls service to homes or businesses.

In case of executing the project service sector in the governorate will be upgraded, in addition to creating 133 vacancies for the governorate.

Table1 economic indicators

Indicator	Value
Total Investment Cost (Jordan Dinars)	716,797
Internal Rate of Return (IRR)	%35.70
Pay-Back Period (Years)	2
Net Present Value (Jordan Dinars)	1,454,068
Job opportunities created by the project	133
Total Revenues (For 10 Years) JD	15,104,807
Total Operating Expenses (For 10 years) JD	10,823,687
Total Net Profit (For 10 years) JD	1,530,555

Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

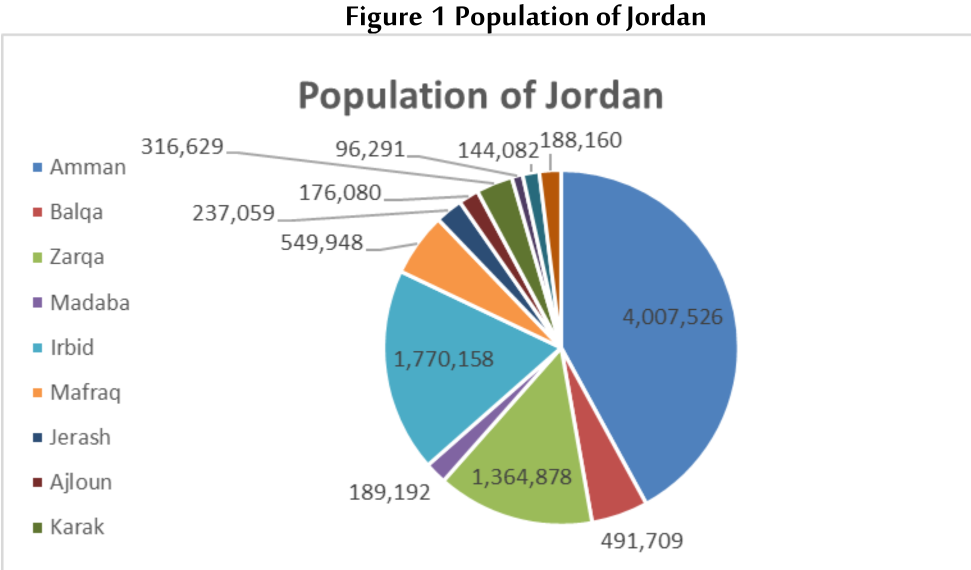
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table 1: Population Distribution according to Age Group:

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	**%18.2**
15-64 Years	%61.02	%30.7	**%28.6**
More than 65 Years	%3.94	%1.6	**%1.6**

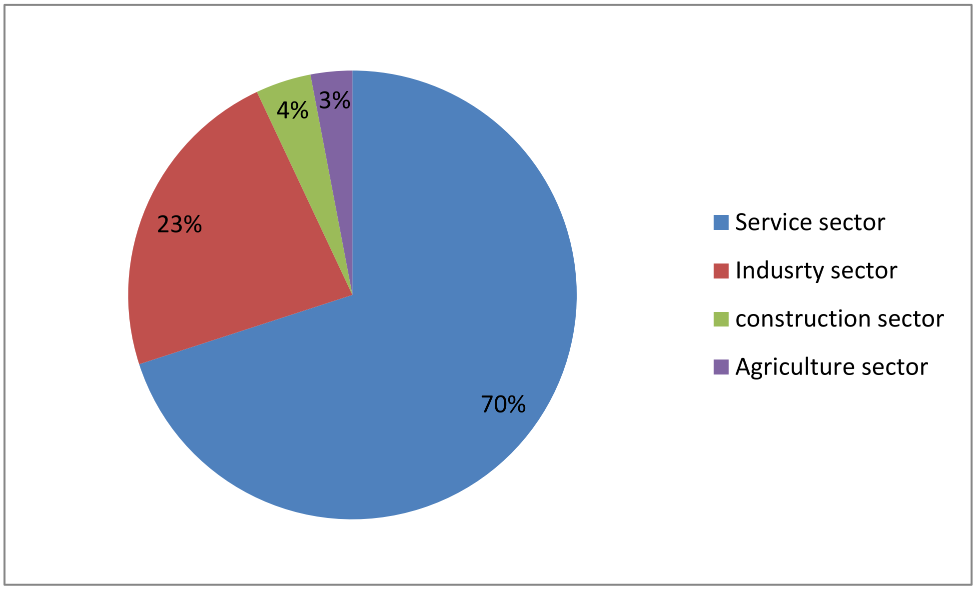
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure2 Sectors Contibution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US$3.8 trillion market and compromising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy s lowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in it endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Invesment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

Investment Climate in Irbid:

Under the provisions of fifth article of the investment law No. 30 of 2014 and Income tax regulations in the less developed areas, the reduction of the income tax system on the investment projects are clarified in the table below:

Table 2 Income Tax and Exemptions

Within the Development Zone or Free Zone	Less Developed Areas
Income Tax is 5%	**Income Tax is 20%** **As per Investment Law categorization, Irbid is classified in Class (C) where investors enjoys 60% exemption on Income tax for 20 years, where net income tax after reduction should not be less than 5%.**

2. Market Analysis

Project description

The idea of project is summarized by establishing a call center in the city of Irbid, where these projects are as the most important projects presently widly available, the project provides several services, such as local contact service to the governorates, in addition to calls transfer service to concerned homes or businesses, with the possibility of receiving communications from various governorates and areas.

The project idea was adopted because of the increased demands of several products with increasing numbers of people and businesses.

Project objectives

The objectives of the project are summarized as follows:

- Good profits returns to the project owner.
- Encourage the investment in information technology sector within the governorate.
- Provide services to the companies, institutions and banks quickly and efficiently.
- Improve the customer satisfaction at institutions and companies.
- Create job opportunities for the resident of the governoate, reduce unemployment and improves situation liviling standards.

Proposed service

It is proposed to establish a telecommunications center in the city of Irbid. The call center is connected with the institutions, companies and banks which is located in the Kingdom, where there will be a computer and headset for each employee. The computer also connects each employee to a switchboard to connect one or more computers to the center's supervisors.

Targeted segments

The project targets the following groups:

- Governmental institutions.
- Large companies which have significant interaction with customers, such as companies offering the service as banks and hotels.
- Companies that received many incoming calls such as airline reservations, insurance companies, hotels and booking companies.
- Newly established companies which needs telemarketing for its products or services.

Analysis of market size

Currently, the number of manpower working in communications information technology-related sectors is about 25,000 personnel, where Jordan plays an important regional role in the information technology sector. Jordan is connecting with fiber network extended around the world and employ technology of wireless network protocol (WAP) and the transfer information system through networks by using the packages (GPRS).

The revenues of call centers sector exceeded 10.3 million dollars in the Kingdom in 2014, distributed as follows: revenues from the local market about 2.43 million dollars, and about 7.88 million dollars as exports or services provided to institutions and companies outside Jordan.

- Source: annual survey and classification of communications and information technology sector, which announced its results by INTAG association and Ministry of communications and information technology (2014).

Current demand:

The importance of call centers are its role in supporting all economical sectors through increasing the demand for the services of these centres, specificlly in the Middle East and North Africa, in addition to the support services provided by these centres. Noting that the increase number of companies operating in Jordan, which indicates the market expansion and increasing demand for services of these companies.

Future demands:

Jordan's income from the communications and information technology is representing one of the three basic items which are support the Jordanian economy. From technical point of view, Jordan has all aspects which might be needed to set up a call center, taking into account the availability of manpower required to workin this field, and the desire of some foreign companies to deal with jordanian call centres skilled. All of these issues demonstrates the expansion of demand and market expansion in the future.

Competitors analysis

Call Centers are defined as telecommunication companies or centers with advanced communications devices and data centers which provide business support services to third parties (companies and organizations from different local economic sectors or from other countries). These centers provides comprehensive communication services (incoming and outgoing) and other specialized consulting services. Therefore, this industry is based on the trained and competent human resources who can dealing with customers of companies and institutions from certain sectors, such as answering the questions of customers of a specific bank, Telecommunications Company or service company.

There are direct competitors to this project, but the market needs requires, such projects in the nearer future

Direct competitors:

- Crystal Call Company: founded in 2007, the total number of employees is 300 staff employee at 2015.
- Extensya Company: was founded in 2008, the total number of employees is approximately 500 employees at 2016.

Price analysis and pricing policy

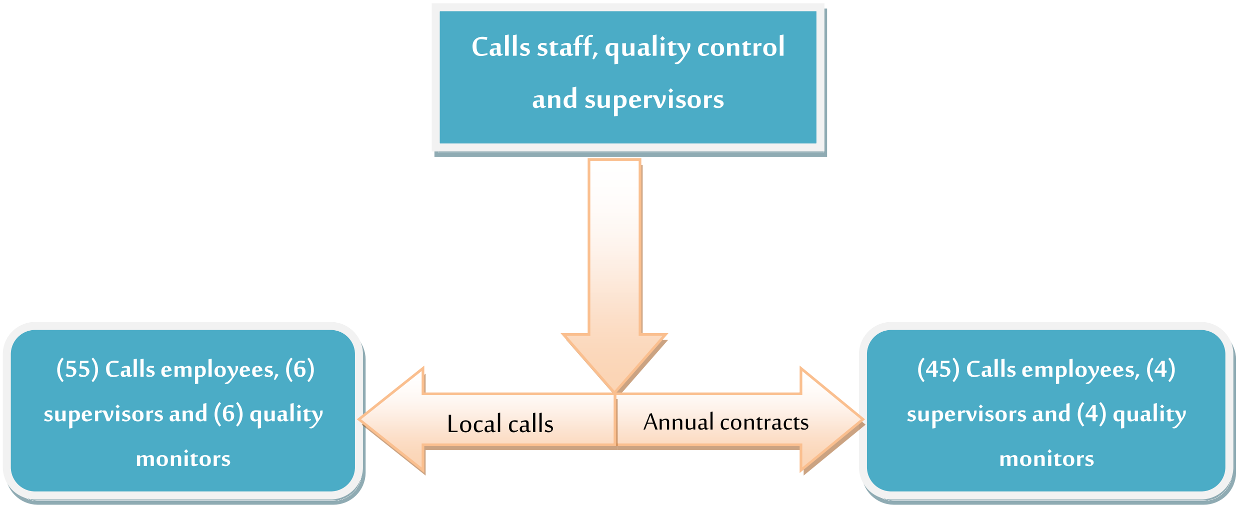
Call centres prices vary based on many factors, so there is no fixed pricing method for companies which have been studied. The most effective factors for calls pricing are the region and language which is spoken by that region who is receiving the calls. Call centers depending as well on other factors for pricing which is the number of daily calls in addition to the duration of the call that was received from a particular country, or by a contract between the two parties – the beneficiary company and the call center- where the call center is rely on one employee or more to answer to the benefiting company calls, for a certain amount paid by the beneficiary company to call center.

After studying the market for more than one call center, the prices were assumed based on the number of employees in the company, and the number of annual contracts, in addition to the expected number of calls, where prices are defined to be competitive and suitable for customers. On this basis the prices were estimated as follows:

Table 2 the proposed price for the call center.

Price assumptions	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Number of annual contracts	15	15	15	15	15	15	15	15	15	15
The annual sales price of contract	36000	37080	38192	39338	40518	41734	42986	44275	45604	46972
Number of expected call/hour	10	10	10	10	10	10	10	10	10	10
The expected number of calls	3600	3600	3600	3600	3600	3600	3600	3600	3600	3600
The annual number of calls	12960	129600	129600	129600	129600	129600	129600	129600	129600	129600
Price per call (JD)	0.60	0.62	0.64	0.66	0.68	0.70	0.72	0.74	0.76	0.78

As shown in the table above, there are annual contracts and local calls, where it was assumed that the company will hired (100) calls employees, (10) supervisors and (10) quality monitors on the calls, for each (10) calls employees one supervisor and one quality monitor will be assigned.



Annual contract:

The following table shows the details of annual contract costs:

Table 3 Annual contract costs (JD)

Annual contract costs (JD)	salary	Selling of annual contract	Percentage of the profit	Value
3 calls employees	1,050	3,000	3,000/(1,864-3,000)	%37.8
One quality monitor	*75			
One supervisor	*80			
Other consumers cost	659			
Total	**1,864**			

*Since it was allocated to each (10) calls employees one supervisor and a quality monitor, so their salary is divided into 10.

Call costs:

For the calls prices, assuming that the rate of number of calls per year reaches to (1,296,000) calls which equivalent to (3,600) per day call, assuming call price is (0.6) Jd to be competitive to other companies and suitable to customers.The following table detailing the number of calls per year:

Table 4 the number of annual calls

Calls	Value
Number of calls per hour	10 calls
Number of working hours per shift	8 hours
Number of shifts per day	3
Number of employees calls per shift	15 employee
Number of working days per year	360 day
Total of multiplying numbers	**1,296,000**

Projected revenues

After studying the market size and price analysis for the company, the company's revenues are divided into two types: annual contracts revenues and local calls revenues. The expected annual revenues value of contracts is (540,000) JD, calls revenues about (777,600), JD.

The following table shows the company's revenues during the 10 years of project life:

Table 5 Projected Revenues during the year (2018-2027)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Number of annual contracts	15	15	15	15	15	15	15	15	15	15
The sale price of the annual contract	36000	37080	38192	39338	40518	41734	42986	44275	45604	46972
Annual contracts revenues	**540000**	**556200**	**572886**	**590073**	**607775**	**626008**	**644788**	**664132**	**684056**	**704578**
Number of expected call per hour	10	10	10	10	10	10	10	10	10	10
Number of expected call per day	3600	3600	3600	3600	3600	3600	3600	3600	3600	3600
The annual number of calls	1296000	1296000	1296000	1296000	1296000	1296000	1296000	1296000	1296000	1296000
Price per call	0.60	0.62	0.64	0.66	0.68	0.70	0.72	0.74	0.76	0.78
Calls revenues	**777600**	**800928**	**824956**	**849705**	**875196**	**901452**	**928495**	**956350**	**985040**	**1014592**
Total	**1317600**	**1357128**	**1397842**	**1439777**	**1482970**	**1527460**	**1573283**	**1620482**	**1669096**	**1719169**

Call Center system

There are special systems which have been developed for this purpose, the best known are: Avoyaa, Cisco and Genisus and are formatted on the CentOS distribution of Linux operating system. Proposed use Cissco system because it has many advantages including after sales service, ease of dealing with honestly and conscientiously, the security system is so difficult to be hacked, supported operating system (IOS, NX-OS).

3. Technical analysis

Technical feasibility study aims to develop the technical specifications for the project, based on the marketing study results, in addition to assessing and reviewing the most important items of investment and operational costs.

The technical project study includes the General explaination description of the project and its components, in addition to constructional and operational requirements costs of the project and identifying the general specifications which the costs based on it, according to the teamwork estimates.

Required Human Resources

The following table shows the numbers of staff and their tasks in the project:

Table 6 required Manpower

Job title	No.
General manager	1
Financial manager	1
Accountat	2
Sales and marketing manager	1
Sales and marketing staff	2
Human resources manager	1
Human resources staff	1
Total indirect employees	**9**
Network engineer	1
Supervisor	10
Quality monitor	10
Call employes	100
Technical support staff	3
Total Direct Employees	**124**

- **General Manager:** Propose the public policy of the call center, preparation of plans and follow up its implementation, technical and administrative supervision of staff, development of procedures, ensuring occupational health and safety requirements.
- **Financial Manager:** Define the organizational objectives, planing, organizing and follow up the implementation of the financial management plans according to the company's by-laws and propose the appropriate annual budget for the project within the available limits.
- **HR officer**: The application and development of procedures, policies and plans for staff recruitment, attracting talented workers and assess, training and development the efficiency of the workers in the call center.
- **Marketing and sales Officer:** Determines the objectives and strategic vision, missions of the company and the internal and external regulatory environment analysis to identify the strengths, weaknesses, opportunities and threats in the market and managing the sales , responsible for the preparation and development of marketing plans and sales expertise and organizing sales activity.
- **Salsesman:** communicate with customers and promote the company's services to customers in addition to the continuous search for new customers.
- **Network Engineer:** Preparing the necessary designs for the information systems networks, preparing the necessary plans and applying, observing the international security and protection standards for the information systems networks.
- **Quality Monitor:** verifying the effectiveness of administrative performance and work procedures in accordance with the applied legislation.
- **Supervisors:** supervise and follow-up the staff and evaluate their performance.
- **Trainers:** Their main task is to train new employees to teach them about the company's business policy and how to deal with customers.
- **Accountant**: tracking of financial matters and financial auditing.
- **Call officer:** receives calls and assists customers.
- **Technical support staff:** They are considered as an administrative category and their task is to maintain and update the user programs.
- **Guard:** Implement the approved security instructions to maintain the security system of the company.

- **Cleaner:** cleaning and keep rooms, desktops, bathrooms, doorways, walls and stairs clean.

Site analysis

The proposed project will be established inside Irbid developmental area, which characterized by services and industrial features. In irbid city a highly of experience staff is available, in addition to college students to serve the project. Irbid is a vital and strategic location to establish a call center.

Technical requirements analysis

Land and construction works

A building will be rented in Irbid with an area of 1,200 square meters. So there is no construction works.

Machinery and equipments

The following table shows the machinery and equipment needed for the project as follows:

Table7 Machinery and equipment required

Machines anad eqipments	No.
Computers	60
Headset	100
Server (equipment and programming)	1
Networking equipment	1

Furniture

The project needs office furniture, air conditioners and other.

4. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 11.20% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Icome tax on the net project income is 20 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 3 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 4 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 5 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 6 Expenses Assumptions

Expenses Assumptions	
Utilities Expenses from Total Revenues	%2.5
Maintenance Expenses from Total Revenues	%0.5
Depreciation Expenses from Total Revenues	%0.05
Insurance Expenses from Total Assets Value	%0.5
Marketing Expenses from Total Revenues	%1

Table 7 Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	%20
(2) Income Tax Deduction	0%
Income Tax after Deduction	%20
(3) Compulsary Reserve Percentage	%10
Other Assumptions	**Value**
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	14

Risk Premuim	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premuim	10.12%
Income Tax Rate	5.00%
(4) Beta	1
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table8 : Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premuim	%10.12
Income Tax Rate	%20
Bets	1.00
Equity	286,719
Loans Value	430,078
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%7.58

Loans Value	430,078
Loans Percentage	%60
Equity	
Cost of Equity	%16.6
Equity Value	286,719
Equety Percentage	$40
Gross	
Project Value	716,797
Weighted Average Cost of Capital	**%11.20**

Capital Expenditures

The estimated cost of the project is 716,797 JD and it covers machinery and equipment costs, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 9 machinery and equipments Capital Expenditure

Description	Cost (JOD per unit	No.	Gross cost
Computers	60	350	21,000
Headset	100	15	1,500
Server (equipments and programming)	1	300,000	300,000
Networking equipment	1	25,000	25,000
Total (JOD)			**347,500**

Table 10 Furniture and furnishings Capital Expenditure

Furniture and furnishings	No.	Cost (per unit)	Cross cost
An integrated office furniture	-	-	35,000

Table 11 Pre Operating Expenses

Pre-operating expenses	Estimaited cost (JD)
Governmental fees	2,000
Transportation	1,000
Marketing	2,500
Training	750
Total	**6,250**

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table12 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	224,958
General and administrative expenses	3	%25	4,951
Marketing expenses	3	%25	3,294
Indirect Salaries	3	%25	29,680
Total			**262,883**

Table 13 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Machinery &Equipment	347,500	10%	382,250	%53.3
Furniture	35,000	10%	38,500	%5.4
Pre-Operating Expenses	6,250	10%	6,875	%1.0
Working capital	262,883	10%	289,172	%40.3
Total (JD)	**651,633**		**716,797**	**100%**

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (716,797) JD, where 60% of the project will be financed through loans (430,078) JD, and the remaining (40%) through (Equity) with (286,719) JD. The following table summarizes the general structure of the required financing:

Table 14 Sources of Funding

Funding Sources	Amount	Percentage
Equity (Self Financing)	286,719	%40
Loans	430,078	%60
Total	**716,797**	**%100**
Use of Fund:	**Value**	**Ratio**
Capital Expenditures	420,750	%58.70
Pre-Operating Expenses	6,875	%0.96
Working Capital	289,172	%40.34
Total	**716,797**	**%100.00**

Operating Expenses

The following table sumarizes the expected operating expenses for the proposed project (2018-2027):

Table 15 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from Revenues	0	0	0	0	0	0	0	0	0	0
Utilities from Revenues	32,940	33,928	34,946	35,994	37,074	38,186	39,332	40,512	41,727	42,979
Maintenance from Revenues	6,588	6,786	6,989	7,199	7,415	7,637	7,866	8,102	8,345	8,596
Disposables from Revenues	659	679	699	720	741	764	787	810	835	860
Direct Salaries	849,600	884,434	920,695	958,444	997,740	1,038,647	1,081,232	1,125,562	1,171,711	1,219,751
Others	10,047	10,348	10,659	10,978	11,308	11,647	11,996	12,356	12,727	13,109
Total	**899,834**	**936,174**	**973,988**	**1,013,335**	**1,054,278**	**1,096,882**	**1,141,213**	**1,187,343**	**1,235,345**	**1,285,294**

General and Administrative Expenses

The following table sumarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 16 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	3,600	3,708	3,819	3,934	4,052	4,173	4,299	4,428	4,560	4,697
Hospitality	600	618	637	656	675	696	716	738	760	783
Staionary and Printing	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Transportaton	600	618	637	656	675	696	716	738	760	783
Rent	7,500	7,725	7,957	8,195	8,441	8,695	8,955	9,224	9,501	9,786
Training	2,400	2,472	2,546	2,623	2,701	2,782	2,866	2,952	3,040	3,131
Insurance	2,104	2,167	2,232	2,299	2,368	2,439	2,512	2,587	2,665	2,745
Miscellaneous	1,800	1,854	1,910	1,967	2,026	2,087	2,150	2,214	2,281	2,349
Total	**19,804**	**20,398**	**21,010**	**21,641**	**22,290**	**22,958**	**23,647**	**24,357**	**25,087**	**25,840**

Marketing Expenses

Table 17 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	**13,176**	**13,571**	**13,978**	**14,398**	**14,830**	**15,275**	**15,733**	**16,205**	**16,691**	**17,192**

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 18 Preparation of employees and their wages (JD)

Job title	No.	Monthly salary	Total monthly salaries	Total annual wages
Indirect employes				
General manager	1	1,750	1,750	28,000
Financial manager	1	1,250	1,250	20,000
Accountant	2	500	1,000	16,000
Sales and Marketing Manager	1	1,000	1,000	16,000
Sales and marketing staff	2	400	800	12,800
Human resources manager	1	1,200	1,200	19,200
Human resources officer	1	420	420	6,720
Indirect Total	**9**		**7,420**	**118,720**
Network engineer	1	800	700	11,200
supervisor	10	800	7,000	112,000
Monitors quality	10	750	7,000	112,000
Staff of the calls.	100	350	32,500	520,000
Technical support staff	3	600	1,800	28,800
Direct Total	**124**		**49,000**	**784,000**
Total	**133**		**56,420**	**902,720**

Table 19 Expected Annual Salaries and Wges (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
General manager	28,000	29,148	30,343	31,587	32,882	34,230	35,634	37,095	38,616	40,199
Financial manager	20,000	20,820	21,674	22,562	23,487	24,450	25,453	26,496	27,583	28,714
Accountant	16,000	16,656	17,339	18,050	18,790	19,560	20,362	21,197	22,066	22,971
Sales and Marketing Manager	16,000	16,656	17,339	18,050	18,790	19,560	20,362	21,197	22,066	22,971
Sales and marketing staff	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Human resources manager	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Human resources officer	6,720	6,996	7,282	7,581	7,892	8,215	8,552	8,903	9,268	9,648
Indirect Total	**118,720**	**123,588**	**128,655**	**133,929**	**139,421**	**145,137**	**151,087**	**157,282**	**163,731**	**170,444**
Network engineer	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
supervisor	128,000	133,248	138,711	144,398	150,319	156,482	162,897	169,576	176,529	183,767
Monitors quality	120,000	124,920	130,042	135,373	140,924	146,702	152,716	158,978	165,496	172,281
Staff of the calls.	560,000	582,960	606,861	631,743	657,644	684,608	712,676	741,896	772,314	803,979
Technical support staff	28,800	29,981	31,210	32,490	33,822	35,208	36,652	38,155	39,719	41,347
Direct Total	**849,600**	**884,434**	**920,695**	**958,444**	**997,740**	**1,038,647**	**1,081,232**	**1,125,562**	**1,171,711**	**1,219,751**
Total	**968,320**	**1,008,021**	**1,049,350**	**1,092,373**	**1,137,161**	**1,183,784**	**1,232,319**	**1,282,844**	**1,335,441**	**1,390,194**

Depreciations

The following tables illustrate cost of Capex and Depreciaition rates:

Table 20 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Machinaries	382,250	%10.0	%2.0
Furniture	38,500	%10.0	%5.0
Total	**420,750**		

Table 21 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciaitions	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	420,750	430,320	440,139	450,215	460,557	471,172	482,069	493,258	504,749	516,550
Total Depreciation Expenses	42,075	43,032	44,014	45,022	46,056	47,117	48,207	49,326	50,475	51,655
Total Accumulated Depreciation	42,075	85,107	129,121	174,142	220,198	267,315	315,522	364,848	415,323	466,978
Total Additions	0	9,570	9,819	10,076	10,341	10,615	10,898	11,189	11,490	11,801
Total Net Book Values	378,675	345,213	311,018	276,073	240,359	203,856	166,547	128,410	89,426	49,572

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table : 22 Loan Details

Loan Value	430,078
Annual Interst Rate	9.48%
Loans Period	3
Loan Starts at year:	2017
Annual Payment	170,360
Number of Payments	3

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2017				430,078
2018	171,360	40,771	130,588	299,490
2019	171,360	28,392	142,968	156,522
2020	171,360	14,838	156,522	0

Income Statement

Through all the information and financial analysis of the project's financial expenses have discretionary income for the years (2018 – 2027) as shown in the following table:

Table 23 Income statment

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	1,317,600	1,357,128	1,397,842	1,439,777	1,482,970	1,527,460	1,573,283	1,620,482	1,669,096	1,719,169
Gross Operating Revenues	1,317,600	1,357,128	1,397,842	1,439,777	1,482,970	1,527,460	1,573,283	1,620,482	1,669,096	1,719,169
Operating Expenses	(899,834)	(936,174)	(973,988)	(1,013,335)	(1,054,278)	(1,096,882)	(1,141,213)	(1,187,343)	(1,235,345)	(1,285,294)
Gross Operating Profit	417,767	420,954	423,854	426,442	428,692	430,578	432,070	433,138	433,751	433,875
Gross Profit Percentage	*%32*	*%31*	*%30*	*%30*	*%29*	*%28*	*%27*	*%27*	*%26*	*%25*
Salaries and Benefits (Indirect Staff)	(118,720)	(123,588)	(128,655)	(133,929)	(139,421)	(145,137)	(151,087)	(157,282)	(163,731)	(170,444)
General and Administraive Expenses	(19,804)	(20,398)	(21,010)	(21,641)	(22,290)	(22,958)	(23,647)	(24,357)	(25,087)	(25,840)
Markeing Expenses	(13,176)	(13,571)	(13,978)	(14,398)	(14,830)	(15,275)	(15,733)	(16,205)	(16,691)	(17,192)
Pre Operating Expenses	(6,875)									
Gross Indirect Expenses	(158,575)	(157,557)	(163,643)	(169,968)	(176,540)	(183,370)	(190,467)	(197,843)	(205,509)	(213,475)
Income before Interest, Depreciation and Tax	259,191	263,397	260,211	256,474	252,152	247,208	241,603	235,295	228,243	220,400
Fixed Assets Depreciations	(42,075)	(43,032)	(44,014)	(45,022)	(46,056)	(47,117)	(48,207)	(49,326)	(50,475)	(51,655)
Income before Tax and Interests	217,116	220,365	216,197	211,452	206,096	200,091	193,396	185,969	177,768	168,745

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Bank Interests	(40,771)	(28,392)	(14,838)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Income Before Tax	176,345	191,973	201,358	211,452	206,096	200,091	193,396	185,969	177,768	168,745
Income Tax	(35,269)	(38,395)	(40,272)	(42,290)	(41,219)	(40,018)	(38,679)	(37,194)	(35,554)	(33,749)
Net Profit	141,076	153,579	161,087	169,162	164,877	160,073	154,716	148,775	142,214	134,996
Net Profit Percentage	*%11*	*%11*	*%12*	*%12*	*%11*	*%10*	*%10*	*%9*	*%9*	*%8*
Compulsory Reserves	(14,108)	(15,358)	(16,109)	(16,916)	(16,488)	(16,007)	(15,472)	(14,878)	(14,221)	(13,500)
Retained Earnings	126,968	265,189	410,167	562,413	710,802	854,868	994,112	1,128,010	1,256,003	1,377,499

Expected Cashflows Statement

The table belwo summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 24 Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	141,076	153,579	161,087	169,162	164,877	160,073	154,716	148,775	142,214	134,996
Bank Interests	40,771	28,392	14,838	0	0	0	0	0	0	0
Depreciation	42,075	43,032	44,014	45,022	46,056	47,117	48,207	49,326	50,475	51,655
Total Operating Cashflows before Additions to Working Capital	223,922	225,002	219,939	214,183	210,933	207,190	202,923	198,101	192,689	186,651
Inventory (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Receviables (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Paybales (Increase/Decrease)	74,986	3,028	3,151	3,279	3,412	3,550	3,694	3,844	4,000	4,162
Working Capital (Increase/Decrease)	74,986	3,028	3,151	3,279	3,412	3,550	3,694	3,844	4,000	4,162
Net Cashflows from Operating Activities	298,909	228,031	223,090	217,462	214,345	210,740	206,618	201,945	196,689	190,813
Cashflows from Investments Activities										
Fixed Assets (Procurement)	(420,750)	(9,570)	(9,819)	(10,076)	(10,341)	(10,615)	(10,898)	(11,189)	(11,490)	(11,801)
Net Cashflows from Investments Activities	(420,750)	(9,570)	(9,819)	(10,076)	(10,341)	(10,615)	(10,898)	(11,189)	(11,490)	(11,801)
Cashflows from Financing Activities										

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Capital	286,719									
Loan Amortization	(130,588)	(142,968)	(156,522)	0	0	0	0	0	0	0
Bank Interest Rate	(40,771)	(28,392)	(14,838)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Loans	430,078	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	545,437	(171,360)	(171,360)	0	0	0	0	0	0	0
Net (Increase/Decrease) in Cash	423,595	47,101	41,911	207,386	204,003	200,125	195,720	190,756	185,199	179,012
Cashflows at the Beginning of Period	0	423,595	470,696	512,607	719,994	923,997	1,124,122	1,319,842	1,510,598	1,695,797
Cashflows at the End of Period	423,595	470,696	512,607	719,994	923,997	1,124,122	1,319,842	1,510,598	1,695,797	1,874,809

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

.Table 25 Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	423,595	470,696	512,607	719,994	923,997	1,124,122	1,319,842	1,510,598	1,695,797	1,874,809
Inventory	0	0	0	0	0	0	0	0	0	0
Accounts Receivable	0	0	0	0	0	0	0	0	0	0
Total current Assets	**423,595**	**470,696**	**512,607**	**719,994**	**923,997**	**1,124,122**	**1,319,842**	**1,510,598**	**1,695,797**	**1,874,809**
Non Current Assets										
Fixed Assets (net)	378,675	345,213	311,018	276,073	240,359	203,856	166,547	128,410	89,426	49,572
Total Non Current Assets	**378,675**	**345,213**	**311,018**	**276,073**	**240,359**	**203,856**	**166,547**	**128,410**	**89,426**	**49,572**
Total Assets	**802,270**	**815,909**	**823,626**	**996,067**	**1,164,356**	**1,327,978**	**1,486,389**	**1,639,009**	**1,785,223**	**1,924,382**
Liabilities	-	-	-	-	-					
Current Liabilities										
Paybles	74,986	78,015	81,166	84,445	87,857	91,407	95,101	98,945	102,945	107,108
Remaining amount of Loan	142,968	156,522	(0)	(0)	(0)	(0)	(0)	(0)	(0)	0

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total current Liabilities	**217,954**	**234,536**	**81,166**	**84,445**	**87,857**	**91,407**	**95,101**	**98,945**	**102,945**	**107,108**
Non Current Liabilities										
Long Terms Loans	156,522	0	0	0	0	0	0	0	0	0
Total Long Term Liabilities	**156,522**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Total Liabilities	**374,476**	**234,536**	**81,166**	**84,445**	**87,857**	**91,407**	**95,101**	**98,945**	**102,945**	**107,108**
Owners Equity										
Shareholders Contributions	286,719	286,719	286,719	286,719	286,719	286,719	286,719	286,719	286,719	286,719
Statutory Reseve	14,108	29,465	45,574	62,490	78,978	94,985	110,457	125,334	139,556	153,055
Retained Profits	126,968	265,189	410,167	562,413	710,802	854,868	994,112	1,128,010	1,256,003	1,377,499
Total Equity	427,795	581,373	742,460	911,622	1,076,499	1,236,572	1,391,288	1,540,063	1,682,278	1,817,274
Total Liabilities and Equity	**802,270**	**815,909**	**823,626**	**996,067**	**1,164,356**	**1,327,978**	**1,486,389**	**1,639,009**	**1,785,223**	**1,924,382**

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 26 Free Net Cash flows Table

Net Cashflows	Pre- Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final value
Net Free Cashflows	(716,797)	305,784	218,461	213,271	207,386	204,003	200,125	195,720	190,756	185,199	179,012	2,586,304
Discount Factor	1.00	0.90	0.81	0.73	0.65	0.59	0.53	0.48	0.43	0.38	0.35	0.35
Net Present Value for Cash Flows	**(716,797)**	**274,989**	**176,675**	**155,109**	**135,639**	**119,990**	**105,855**	**93,099**	**81,600**	**71,245**	**61,929**	**894,735**

Table below (42) illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 27 Payback Period

Payback Period	Pre- Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(716,797)	305,784	218,461	213,271	207,386	204,003	200,125	195,720	190,756	185,199	179,012
Project Value Returned	716,797	411,013	192,553	(20,718)	(228,104)	(432,108)	(632,233)	(827,953)	(1,018,709)	(1,203,908)	(1,382,920)
Payback Period (Year)	2	1	1	0	0	0	0	0	0	0	0

Table :28 Financial Analysis Results

Indicator	Value
Weighted Average Cost of Capital (WACC)	%11.20
Net Present Value for Cashflows	1,454,068
Payback Period	2
Internal Rate of Return	%35.70

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table :29 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%35.70	2	11.20%
Revenues declined by 10%	%14.55	6	11.20%
Operating Expenses Increased by 10%	%21.08	4	11.20%

Conclusions and Recommendations

Based on the profitability analysis and considering that project inrernal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 1,454068 Jordan Dinars considering that the project provides 133 Job Opportunitites for the governorate residents.